Nguồn: Investor.gov — U.S. Securities and Exchange Commission (SEC)
Ngày truy cập: 30/10/2026. Mỗi mục bên dưới ghi URL gốc của trang.
Bản trích phần thân bài (đã bỏ menu, video, liên kết) để nạp vào kho tri thức RAG. Nội dung theo bối cảnh Mỹ.

Investor.gov — How to Avoid Fraud (U.S. SEC)

1. How to Avoid Fraud
2. What You Can Do to Avoid Investment Fraud
3. Red Flags of Investment Fraud Checklist
4. Protect Your Social Media Accounts
5. Ponzi Scheme
6. Pump and Dump Schemes
7. Advance Fee Fraud
8. Investment Scams Targeting Groups
9. Impersonation Schemes
10. High-Yield Investment Programs
11. Internet and Social Media Fraud
12. Binary Options Fraud

How to Avoid Fraud

Source: https://www.investor.gov/protect-your-investments/fraud/how-avoid-fraud

A basic understanding of how scam artists work can help you avoid fraud and protect your money. Learning how to invest wisely can help you reach your financial goals. Here are some ways to help avoid being scammed:

- Be aware before you share your contact information in response to an investment promotion.
- Learn what you can do to avoid investment fraud including red flags to watch for and where to go for help.
- Learn how to protect yourself online, and how to protect your social media accounts.
- Learn about the different types of investment fraud, including those found online and in social media.
- Review our Investor Alerts

Remember: if you have a question or concern about an investment, or you think you have encountered a fraud, please contact the SEC , FINRA , or your state securities regulator to report the fraud and to get assistance.

What You Can Do to Avoid Investment Fraud

Source: https://www.investor.gov/protect-your-investments/fraud/how-avoid-fraud/what-you-can-do-avoid-investment-fraud

Ask questions. Fraudsters are counting on you not to investigate before you invest. Fend them off by doing your own digging. It's not enough to ask for more information or for references – fraudsters have no incentive to set you straight. Take the time to do your own independent research. For more about information see Ask Questions .

Research before you invest. Unsolicited emails, message board postings, and company news releases should never be used as the sole basis for your investment decisions. Understand a company's business and its products or services before investing. Look for the company's financial statements on the SEC's EDGAR filing system. You can also check out many investments by searching EDGAR .

Know the salesperson. Spend some time checking out the person touting the investment before you invest – even if you already know the person socially. Always find out whether the securities salespeople who contact you are licensed to sell securities in your state and whether they or their firms have had run-ins with regulators or other investors. You can check out the disciplinary history of brokers and advisers for free using the SEC's and FINRA's online databases. Your state securities regulator may have additional information.

Be wary of unsolicited offers. Be especially careful if you receive an unsolicited pitch to invest in a company, or see it praised online, but can't find current financial information about it from independent sources. It could be a " pump and dump " scheme. Be wary if someone recommends foreign or "off-shore" investments. If something goes wrong, it's harder to find out what happened and to locate money sent abroad.

Protect yourself online. Online and social marketing sites offer a wealth of opportunity for fraudsters. For tips on how to protect yourself online see Protect Your Social Media Accounts.

Know what to look for. Make yourself knowledgeable about different types of fraud and red flags that may signal investment fraud.

Red flags for fraud and common persuasion tactics

How do successful, financially intelligent people fall prey to investment fraud? Researchers have found that investment fraudsters hit their targets with an array of persuasion techniques that are tailored to the victim's psychological profile. Here are red flags to look for:

If it sounds too good to be true, it is . Watch for “phantom riches.” Compare promised yields with current returns on well-know stock indexes. Any investment opportunity that claims you’ll receive substantially more could be highly risky – and that means you might lose money. Be careful of claims that an investment will make “ incredible gains ,” is a “ breakout stock pick ” or has “ huge upside and almost no risk!” Claims like these are hallmarks of extreme risk or outright fraud.

“Guaranteed returns” aren’t. Every investment carries some degree of risk, which is reflected in the rate of return you can expect to receive. If your money is perfectly safe, you’ll most likely get a low return. High returns entail high risks, possibly including a total loss on the investments. Most fraudsters spend a lot of time trying to convince investors that extremely high returns are “guaranteed” or “can’t miss.” They try to plant an image in your head of what your life will be like when you are rich. Don’t believe it.

Beware the “halo” effect. Investors can be blinded by a “halo” effect when a con artist comes across as likeable or trustworthy. Credibility can be faked. Check out actual qualifications.

“Everyone is buying it.” Watch out for pitches that stress how “everyone is investing in this, so you should, too.” Think about whether you are interested in the product. If a sales presentation focuses on how many others have bought the product, this could be a red flag.

Pressure to send money RIGHT NOW . Scam artists often tell their victims that this is a once-in-a-lifetime offer and it will be gone tomorrow. But resist the pressure to invest quickly and take the time you need to investigate before sending money.

Reciprocity. Fraudsters often try to lure investors through free investment seminars, figuring if they do a small favor for you, such as supplying a free lunch, you will do a big favor for them and invest in their product. There is never a reason to make a quick decision on an investment. If you attend a free lunch, take the material home and research both the investment and the individual selling it before you invest. Always make sure the product is right for you and that you understand what you are buying and all the associated fees.

Where can I go for help?

If you have a question or concern about an investment, or you think you have encountered one of these frauds, please contact the SEC, FINRA, or your state securities regulator to report the fraud and to get assistance.

U.S. Securities and Exchange Commission Office of Investor Education and Advocacy 100 F Street, NE Washington, DC 20549-0213 Telephone: (800) 732-0330 Fax: (202) 772-9295

Financial Industry Regulatory Authority (FINRA) File a Tip | FINRA.org FINRA Complaints and Tips 9509 Key West Avenue Rockville, MD 20850 Telephone: (301) 590-6500

North American Securities Administrators Association (NASAA) 750 First Street NE Suite 1140 Washington, DC 20002 Telephone: (202) 737-0900 Fax: (202) 783-3571

Red Flags of Investment Fraud Checklist

Source: https://www.investor.gov/protect-your-investments/fraud/how-avoid-fraud/red-flags-investment-fraud-checklist

Can you spot the warning signs of investment fraud?

Protect your investments by watching out for these red flags:

Unlicensed investment professionals

Aggressive sellers who may provide exaggerated or false credentials

Offers that sound “too good to be true”

"Risk-free" investment opportunities

Promises of great wealth and guaranteed returns

“Everyone is buying it” pitches

Pressure to invest right now

Over-the-top, sensational pitches that may have fake testimonials

Unsolicited pitches seeking to obtain your personal information

Asked to pay for investments by credit card, gift card, or wiring money abroad or to a personal account

Three ways to avoid fraud:

Ask questions

Research every investment opportunity thoroughly before you invest

Conduct a background check on any investment professional at Investor.gov

Download Checklist (PDF)

Protect Your Social Media Accounts

Source: https://www.investor.gov/protect-your-investments/fraud/how-avoid-fraud/protect-your-social-media-accounts

The Internet has made our lives easier in so many ways. However, you need to know how you can protect your privacy and avoid fraud. Remember, not only can people be defrauded when using the Internet for investing; the fraudsters use information online to send bogus materials, solicit or phish.

Phishing is the attempt to obtain financial or confidential information from Internet users. This phishing expedition usually begins with an email that looks as if it is from a legitimate source, often a financial institution. The email contains a link to a fake website that looks like the real site. Fraudsters want you to provide account and password information, and then they have access to your account.

Here's what you can do to protect yourself when using social media:

Privacy Settings: Always check the default privacy settings when opening an account on a social media website. The default privacy settings on many social media websites are typically broad and may permit sharing of information to a vast online community. Modify the setting, if appropriate, before posting any information on a social media website.

Biographical Information: Many social media websites require biographical information to open an account. You can limit the information made available to other social media users. Consider customizing your privacy settings to minimize the amount of biographical information others can view on the website.

Account Information: Never give account information, Social Security numbers, bank information or other sensitive financial information on a social media website. If you need to speak to a financial professional, use a firm-sponsored method of communication, such as telephone, letter, firm e-mail or firm-sponsored website.

Friends/Contacts: When choosing friends or contacts on a social media site, think about why you use the website. Decide whether it is appropriate to accept a "friend" or other membership request from a financial service provider, such as a financial adviser or broker-dealer. There is no obligation to accept a "friend" request of a service provider or anyone you do not know or do not know well.

Site Features: Familiarize yourself with the functionality of the social media website before broadcasting messages on the site. Who will be able to see your messages -- only specified recipients, or all users?

On-Line Security Tips

As with all computer and web-based accounts, take precautions to keep your social media account information secure. Here are some security tips:

- Pick a "strong" password, keep it secure, and change it frequently.

- Use different passwords for different accounts.
- Use caution with public computers or wireless connections. Try to avoid accessing your social media accounts on public or other shared computers. But if you must do so, remember to log out completely by clicking the “log out” button on the social media website to terminate the online session.
- Be mindful of accessing your social media accounts on public wireless connections, such as at a coffee shop or airport. It is very easy to eavesdrop on Internet traffic, including passwords and other sensitive data, on a public wireless network.
- Be extra careful before clicking on links sent to you, even if by a friend.
- Secure your mobile devices. If your mobile devices are linked to your social media accounts, make sure that these devices are password protected in case they are lost or stolen.

For more information, see Investor Bulletin: Social Media and Investing – Understanding Your Accounts

Additional Information

Investor Bulletin: Social Media and Investing - Tips for Seniors Investor Alert: Social Media and Investing - Avoiding Fraud

---

Ponzi Scheme

Source: https://www.investor.gov/protect-your-investments/fraud/types-fraud/ponzi-scheme

A Ponzi scheme is an investment fraud that pays existing investors with funds collected from new investors. Ponzi scheme organizers often promise to invest your money and generate high returns with little or no risk. But in many Ponzi schemes, the fraudsters do not invest the money. Instead, they use it to pay those who invested earlier and may keep some for themselves.

With little or no legitimate earnings, Ponzi schemes require a constant flow of new money to survive. When it becomes hard to recruit new investors, or when large numbers of existing investors cash out, these schemes tend to collapse.

Ponzi schemes are named after Charles Ponzi, who duped investors in the 1920s with a postage stamp speculation scheme.

Ponzi scheme “red flags”

Many Ponzi schemes share common characteristics. Look for these warning signs:

- High returns with little or no risk. Every investment carries some degree of risk, and investments yielding higher returns typically involve more risk. Be highly suspicious of any “guaranteed” investment opportunity.
- Overly consistent returns. Investments tend to go up and down over time. Be skeptical about an investment that regularly generates positive returns regardless of overall market conditions.
- Unregistered investments. Ponzi schemes typically involve investments that are not registered with the SEC or with state regulators. Registration is important because it provides investors with access to information about the company’s management, products, services, and finances.
- Unlicensed sellers. Federal and state securities laws require investment professionals and firms to be licensed or registered. Most Ponzi schemes involve unlicensed individuals or unregistered firms.
- Secretive, complex strategies. Avoid investments if you don’t understand them or can’t get complete information about them.
- Issues with paperwork. Account statement errors may be a sign that funds are not being invested as promised.
- Difficulty receiving payments. Be suspicious if you don’t receive a payment or have difficulty cashing out. Ponzi scheme promoters sometimes try to prevent participants from cashing out by offering even higher returns for staying put.

Additional Information

Investor Alert: Ponzi Schemes Targeting Seniors Investor Alert: Ponzi Schemes Using Virtual Currencies

---

Pump and Dump Schemes

Source: https://www.investor.gov/protect-your-investments/fraud/types-fraud/pump-and-dump-schemes

"Pump and dump" schemes have two parts. In the first, promoters try to boost the price of a stock with false or misleading statements about the company. Once the stock price has been pumped up, fraudsters move on to the second part, where they seek to profit by selling their own holdings of the stock, dumping shares into the market.

These schemes often occur on the Internet where it is common to see messages urging readers to buy a stock quickly. Often, the promoters will claim to have "inside" information about a development that will be positive for the stock. After these fraudsters dump their shares and stop hyping the stock, the price typically falls, and investors lose their money.

Additional Information

Common Scams | Investor.gov Social Media and Stock Tip Scams – Investor Alert Investor Alert: Investment Newsletters Used as Tools for Fraud Investor Alert: Don't Trade on Pump-And-Dump Stock Emails Investor Alert: Social Media and Investing – Avoiding Fraud Microcap Stock: A Guide for Investors Microcap Fraud spotlight Internet Fraud

---

Advance Fee Fraud

Source: https://www.investor.gov/protect-your-investments/fraud/types-fraud/advance-fee-fraud

Advance fee frauds ask investors to pay a fee up front to receive proceeds. The advance payment may be described as a fee, tax, commission, validation fee, or repayment of a margin loan, but the premise is always the same – you need to give money to get money.

Advanced fee frauds are common in relationship investment scams , where scammers engage in a long con, building trust through friendship or a romantic connection and convincing targets to put money into phony investments. Using realistic account interfaces appearing to generate significant returns, scammers convince investors to send more and more money. When the investor asks to withdraw the funds, the scam often shifts to an advanced fee fraud where the investor is told to deposit funds to get the funds released. Any additional funds sent by the investor only compound what has already been lost through prior transfers. Victims are often convinced to pay more to unlock the account than any amount they previously deposited.

Scammers often target prior victims of fraud and may impersonate government regulators or other organizations , claiming that the victim's funds have or can be recovered. Often referred to as a reload scam, these are another type of advanced fee fraud where victims are asked to pay advanced fees to supposedly obtain recovery.

Other advance fee frauds involve fraudsters requiring payment to supposedly receive money for online work, lottery winnings, found money, or many other so-called opportunities.

Additional Information

Updated Investor Alert: Be on the Lookout for Advance Fee Fraud

Impersonation Schemes webpage

Investment Scams Targeting Groups

Source: https://www.investor.gov/protect-your-investments/fraud/types-fraud/affinity-fraud

Some investment scams target members of identifiable groups, such as older investors , or religious or military communities. The fraudsters involved in these scams often are – or pretend to be – members of the group. They may enlist respected leaders from the group to spread the word about the scheme, convincing them it is legitimate and worthwhile. Many times, those leaders become unwitting victims of the fraud they helped to promote.

These scams exploit the trust and friendship that exists in groups of people. Because of the tight-knit structure of many groups, outsiders may not know about the investment scam. Victims may try to work things out within the group rather than notify authorities or pursue legal remedies.

These scams often involve " Ponzi " or pyramid schemes where new investor money is used to pay earlier investors, making it appear as if the investment is successful and legitimate.

Never let down your guard because someone you trust brought an investment opportunity to your attention.

Tips to Avoid Fraud

- Even if you know the person making the investment offer, be sure to research the person's background, as well as the investment itself – no matter how much you trust the person who brings the investment opportunity to your attention. To research an investment professional, use the free tool on Investor.gov — you'll be able to check if they are currently licensed and registered, and if they've had red flags like customer complaints or disciplinary actions.
- Never make an investment based solely on the recommendation of a member of an organization or group to which you belong. This is especially true if the recommendation is made online or through social media, as the recommendation may be a fraud.
- Do not fall for investments that promise spectacular profits or "guaranteed" returns. Similarly, be extremely leery of any investment that is said to have no risks. Very few investments are risk-free. Promises of quick and high profits, with little or no risk, are classic warning signs of fraud.
- Fraudsters often avoid putting things in writing. Avoid an investment if you are told they do "not have the time to put in writing" the particulars about the investment. You should also be suspicious if you are told to keep the investment opportunity confidential or a secret.
- Don't be pressured or rushed into buying an investment before you have a chance to research the "opportunity." Just because someone you know made money, or claims to have made money, doesn't mean you will, too. Be especially skeptical of investments that are pitched as "once-in-a-lifetime" opportunities, particularly when the recommendation is supposedly based on "inside" or confidential information.

- Fraudsters may try to tap into your desire to get in on the ground floor of the latest technology, product, or growth industry.

Impersonation Schemes

Source: https://www.investor.gov/protect-your-investments/fraud/types-fraud/impersonation-schemes

Fraudsters often impersonate organizations or individuals to lure victims into scams. They may impersonate government agencies or employees, or legitimate investment professionals like brokers and investment advisers . Impersonators may be part of an advance fee scam, or may use personal information they obtain to steal an individual's identity or misappropriate their financial assets. Investors should be aware of these impersonation schemes:

Fraudsters may impersonate the SEC.

Communications – including phone calls, voicemails, text messages, messages via social media, emails, letters, and certificates – may falsely appear to be from the SEC. Be skeptical if you are contacted by someone claiming to be from the SEC asking about your shareholdings, account numbers, PIN numbers, passwords, digital addresses, or other information that may be used to access your financial accounts. It may be part of a scam to compromise your investment, financial, or other personal accounts .

If you receive a communication that appears to be from the SEC, do not provide any information until you have verified that you are dealing with someone from the SEC, and not an impersonator .

If you receive a communication that falsely appears to be from the SEC, submit an Investor Complaint Form to the SEC. If you have lost money in a scheme involving SEC impersonation, submit a complaint at www.sec.gov/oig to the SEC's Office of Inspector General ("OIG") or call the OIG's toll-free hotline at (833) SEC-OIG1 (732-6441).

Fraudsters may impersonate registered brokers or investment advisers.

Fraudsters may set up an account name, profile, or handle designed to mimic a particular individual or firm. They may create a webpage that uses the real firm's logo, links to the firm's actual website, or references the name of an actual person who works for the firm. Fraudsters also may direct investors to an imposter website by posting comments in the social media account of brokers, investment advisers, or other sources of market information.

Verify that you are communicating with an investment professional and not an imposter. For example, contact the professional using a phone number or website listed in the firm's Client Relationship Summary (Form CRS). To ensure you are looking at a genuine copy of the firm's Form CRS, follow these steps:

- In the "Check Out Your INVESTMENT PROFESSIONAL" search box on Investor.gov , select "Firm" from the drop down options and type in the name of the firm.
- In the search results, click on the relevant firm and then click on "Get Details."
- Click on "Relationship Summary" or "Part 3 Relationship Summary."

Additional Information

SEC Impersonators May Lure Investors Into Scams Through Social Media or Text Messages -- Investor Alert (Sept. 2025)

Beware of Fraudsters Impersonating Investment Professionals and Firms – Investor Alert (Dec. 2024)

Social Media and Stock Tip Scams – Investor Alert (Sept. 2024)

Relationship Investment Scams – Investor Alert (Sept. 2024)

5 Ways Fraudsters May Lure Victims Into Scams Involving Crypto Asset Securities – Investor Alert (May 2024)

Artificial Intelligence (AI) and Investment Fraud: Investor Alert (Jan. 2024)

Beware of Communications Falsely Appearing to Come from the SEC – Investor Alert (Nov. 2021)

Fraudsters Posing as Brokers or Investment Advisers – Investor Alert (July 2021)

Investor Alert: When Engaging With the SEC on Social Media, Use Our Verified Accounts and Be Alert for Impersonators (Sept. 2018)

Investor Alert: SEC Impersonators Pretend to Help Investors Buy Stock (Apr. 2018)

Investor Alert: Beware of Government Impersonators Targeting Fraud Victims (June 2016)

Updated Investor Alert: SEC Warns of Government Impersonators Demanding Money (Aug. 2015)

High-Yield Investment Programs

Source: https://www.investor.gov/protect-your-investments/fraud/types-fraud/high-yield-investment-programs

The Internet is awash in so-called “high-yield investment programs” or “HYIPs.” These are unregistered investments typically run by unlicensed individuals – and they are often frauds. The hallmark of an HYIP scam is the promise of incredible returns at little or no risk to the investor. A HYIP website might promise annual (or even monthly, weekly, or daily!) returns of 30 or 40 percent – or more. Some of these scams may use the term “prime bank” program. If you are approached online to invest in one of these, you should exercise extreme caution - it is likely a fraud.

Look Out for High-Yield Investment Program Scams -- Investor Alert .

Internet and Social Media Fraud

Source: https://www.investor.gov/protect-your-investments/fraud/types-fraud/internet-and-social-media-fraud

Many investors use the Internet and social media to help them with investment decisions. While these online tools can provide many benefits for investors, these same tools can make attractive targets for criminals. Criminals are quick to adapt to new technologies – and the Internet is no exception.

The Internet is a useful way to reach a mass audience without spending a lot of time or money. A website, online message, or social media site can reach large numbers with minimum effort. It's easy for fraudsters to make their messages look real and credible and sometimes hard for investors to tell the difference between fact and fiction. If an investment promotion grabs your interest, research the “opportunity” even before providing your phone number and email address. Otherwise, you may be setting yourself up to be targeted for investment fraud .

The key to avoiding investment fraud on social media sites or elsewhere on the Internet is to be an educated investor. To learn specific steps you can take, see What You Can Do to Avoid Investment Fraud . Below, we tell you where various types of fraud may show up online such as Social media , Online investment newsletters , Online bulletin boards and chat rooms and Spam .

Social media

Social media, such as Facebook, YouTube, Twitter, and LinkedIn, have become key tools for U.S. investors. Whether they are seeking research on particular stocks, background information on a broker-dealer or investment adviser, guidance on an overall investment strategy, up to date news or to simply want to discuss the markets with others, investors turn to social media. Social media also offers a number of features that criminals may find

attractive. Fraudsters can use social media in their efforts to appear legitimate, to hide behind anonymity, and to reach many people at low cost. For additional information, see these Investor Alerts and Bulletins:

Investor Alert: Social Media and Investing – Avoiding Fraud Investor Bulletin: Social Media and Investing – Understanding Your Accounts Investor Bulletin: Social Media and Investing – Tips for Seniors

Always be wary of unsolicited offers to invest. Unsolicited sales pitches may be part of a fraudulent investment scheme. If you receive an unsolicited message from someone you don't know containing a "can't miss" investment, your best move maybe to pass up the "opportunity" and report it to the SEC Complaint Center .

Online investment newsletters

While legitimate online newsletters contain valuable information, others are tools for fraud. Some companies pay online newsletters to "tout" or recommend their stocks. Touting isn't illegal as long as the newsletters disclose who paid them, how much they're getting paid, and the form of the payment, usually cash or stock. But fraudsters often lie about the payments they receive and their track records.

Fraudulent promoters may claim to offer independent, unbiased recommendations in newsletters when they stand to profit from convincing others to buy or sell certain stocks. They may spread false information to promote worthless stocks.

The fact that these so-called "newsletters" may be advertised on legitimate websites, including on the online financial pages of news organizations, does not mean that they are not fraudulent. To learn more, read our tips for checking out newsletters .

Online bulletin boards and chat rooms

Online bulletin boards, chat rooms and social media sites are a way for investors to share information. While some messages may be true, many turn out to be bogus – or even scams. Fraudsters may use online discussions to pump up a company or pretend to reveal "inside" information about upcoming announcements, new products, or lucrative contracts.

You never know for certain who you're dealing with, or whether they're credible, because many sites allow users to hide their identity behind multiple aliases. People claiming to be unbiased observers may actually be insiders, large shareholders, or paid promoters. One person can easily create the illusion of widespread interest in a small, thinly traded stock by posting numerous messages under various aliases.

Other online offerings may not be fraudulent per se , but may nonetheless fail to comply with the applicable registration provisions of the federal securities laws. While the federal

securities laws require the registration of solicitations or “offerings,” some offerings are exempt. Always determine if a securities offering is registered with the SEC or a state, or is otherwise exempt from registration, before investing.

Spam

“Spam" – junk e-mail – often is used to promote bogus investment schemes or to spread false information about a company. With a bulk e-mail program, spammers can send personalized messages to millions of people at once for much less than the cost of cold calling or traditional mail. Many scams, including advance fee frauds, use spam to reach potential victims.

Many of the frauds that show up on social media are not unique to the Internet. These frauds range from “pump and dump” schemes to promises of “guaranteed returns,” from “High Yield Investment Programs” to affinity fraud. To learn more about these frauds, see Types of Fraud .

Binary Options Fraud

Source: https://www.investor.gov/protect-your-investments/fraud/types-fraud/binary-options-fraud

Much of the binary options market operates through Internet-based trading platforms that are not necessarily complying with applicable U.S. regulatory requirements and may be engaging in illegal activity. Investors should be aware of fraudulent promotion schemes involving binary options and binary options trading platforms.

What is a Binary Option?

A binary option is a type of options contract in which the payout depends entirely on the outcome of a yes/no proposition and typically relates to whether the price of a particular asset will rise above or fall below a specified amount. Once the option is acquired, there is no further decision for the holder to make regarding the exercise of the binary option because binary options exercise automatically. Unlike other types of options, a binary option does not give the holder the right to buy or sell the specified asset. When the binary option expires, the option holder receives either a pre-determined amount of cash or nothing at all.

Investor Complaints Relating To Fraudulent Binary Options Trading Platforms

The SEC has received numerous complaints of fraud associated with websites that offer an opportunity to buy or trade binary options through Internet-based trading platforms. The complaints fall into at least three categories:

- Refusal to credit customer accounts or reimburse funds to customers

These complaints typically involve customers who have deposited money into their binary options trading account and who are then encouraged by "brokers" over the telephone to deposit additional funds into the customer account. When customers later attempt to withdraw their original deposit or the return they have been promised, the trading platforms allegedly cancel customers' withdrawal requests, refuse to credit their accounts, or ignore their telephone calls and emails.

- Identity theft

These complaints allege that certain Internet-based binary options trading platforms may be collecting customer information (including copies of customers' credit cards, passports, and driver's licenses) for unspecified uses. Do not provide personal data.

- Manipulation of software to generate losing trades

These complaints allege that the Internet-based binary options trading platforms manipulate the trading software to distort binary options prices and payouts. For example, when a customer's trade is "winning," the countdown to expiration is extended arbitrarily until the trade becomes a loss.

Beware of Overstated Investment Returns for Binary Options

Additionally, some binary options Internet-based trading platforms may overstate the average return on investment by advertising a higher average return on investment than a customer should expect, given the payout structure.

For example, a customer may be asked to pay $50 for a binary option contract that promises a 50% return if the stock price of XYZ company is above $5 per share when the option expires. Assuming a 50/50 chance of winning, the payout structure has been designed in such a way that the expected return on investment is actually negative , resulting in a net loss to the customer. This is because the consequence if the option expires out of the money (approximately a 100% loss) significantly outweighs the payout if the option expires in the money (approximately a 50% gain). In this example, an investor could expect -- on average -- to lose money.

Always Check the Background of a Firm or Financial Professional

Before investing, check out the background, including registration or license status, of any firm or financial professional you are considering dealing with through the SEC's Investment Adviser Public Disclosure (IAPD) database, available on Investor.gov , and the National Futures Association Background Affiliation Status Information Center's BASIC Search . If you cannot verify that they are registered, don't trade with them, don't give them any money, and don't share your personal information with them.

Additional Information

Investor Alert: Don’t Invite Investment Scams to Find You

Investor Alert: Binary Options Websites may be Used for Fraudulent Schemes

Investor Alert: Beware of Government Impersonators Targeting Fraud Victims

Investor Alert: Binary Options and Fraud

The Office of Investor Education and Advocacy has provided this information as a service to investors. It is neither a legal interpretation nor a statement of SEC policy. If you have questions concerning the meaning or application of a particular law or rule, please consult with an attorney who specializes in securities law.